CREDIT PROPOSAL — REFERENCE (BUSINESS REQUEST, CREDIT COMMENTS, RECOMMENDATION)

Sawaed Al Bina Contracting Co. · Renewal + additional (new project limit)
Date 06/10/2026 · RM Hisham Al-Qahtani

Key details

Unit / branch:	Corporate Banking — Eastern Province / Dammam Main Branch
Customer:	Sawaed Al Bina Contracting Co.
CIF / base no.:	CB09002
Group:	Sawaed Group (CG9002)
Date account opened:	20/03/2016
Related / connected party:	Yes — Sawaed Heavy Equipment Rental Co. (CIF CB09003, owned by partner Nasser Hamad Al-Sawaed); Sawaed Real Estate Co.
Date:	06/10/2026
AO / RO:	Hisham Al-Qahtani / Lama Al-Mutairi
Purpose code:	PF-03 Project finance (contracting)
Request type:	Renewal + additional (new project limit)
Review date:	30/11/2026
Industry code:	F41 — Construction of buildings
Collateral code:	AS — Assignment of proceeds
Rating (existing / proposed):	BB+ / BB
CR number:	2050117342

1. Action requested

Renew the general limit of SAR 160.0m approved under CC/2024/207 dated 12/11/2024 for a further 12 months with the same structure, and approve a new project limit of SAR 120.0m dedicated to the Eastern Corridor Logistics Hub — Package C awarded by Sharqiya Logistics Development Co. (SLDC) (letter of award 22/09/2026, contract value SAR 312.0m, 24 months from 01/12/2026), taking total facilities from SAR 160.0m to SAR 280.0m and the Sawaed Group exposure cap from SAR 185.0m to SAR 300.0m.

2. Facilities

Facility (SAR m)	Existing	Outstanding	Proposed	Cash margin	Particulars
General limit (renewal)	**160.0**	**129.6**	**160.0**		**12 months, review 30/11/2027; Interchangeable within the general limit**
Advance payment guarantees	25.0	19.4	25.0	10%	Comm. 0.75% p.a.; Per LG, max 30 months
Performance bonds	45.0	41.2	45.0	10%	Comm. 0.60% p.a.; Per LG, max 36 months
Letters of credit (sight / usance)	20.0	6.3	20.0	15%	Comm. 0.25% p.q.; Usance up to 120 days
Murabaha against payment certificates (DMCCM)	50.0	47.8	50.0		3M SAIBOR + 2.50%, floor 6.25%; Up to 180 days per draw; Up to 80% of certified net amounts
Overdraft	20.0	14.9	20.0		3M SAIBOR + 2.75%, floor 6.50%; 12 months
Project limit — Eastern Corridor Logistics Hub Package C (new)	**0.0**	**0.0**	**120.0**		**Project life, 24 months + DLP; Dedicated to Package C**
Advance payment guarantee (10%)	0.0	0.0	31.2	10%	Comm. 0.75% p.a.; Until full recovery of the advance
Performance bond (10%)	0.0	0.0	31.2	10%	Comm. 0.60% p.a.; Until end of DLP (36 months)
Murabaha against Package C certificates (DMCCM)	0.0	0.0	45.0		3M SAIBOR + 2.50%, floor 6.25%; Up to 180 days per draw; Up to 80% of certified net amounts
Letters of credit (MEP imports)	0.0	0.0	12.6	15%	Comm. 0.25% p.q.; Usance up to 120 days, settled by DMCCM
Total facilities	**160.0**	**129.6**	**280.0**		

Study and documentation fee: 0.25% of the new limit (SAR 300,000). Pricing of the general limit unchanged.

3. Security and support

For the general limit (SAR 160.0m):

- Personal guarantee of Turki Hamad Al-Sawaed (65% shareholder), net worth SAR 160.3m as per statement dated 30/06/2026 (existing; extended to the project limit).

- Personal guarantee of Nasser Hamad Al-Sawaed (35%), net-worth statement to follow (existing).
- Assignment of Package B proceeds (existing, acknowledged by SLDC on 02/05/2025).
- Promissory note for SAR 280.0m covering both limits (new, replacing SAR 160.0m).
- Cash margin 10% on letters of guarantee, 15% on letters of credit (existing deposit SAR 6.06m).

For the Package C project limit (SAR 120.0m):

- Assignment of Package C contract proceeds to the Bank, to be acknowledged by SLDC within 60 days of contract signature (new).
- Personal guarantee of Turki Hamad Al-Sawaed (above), extended to the project limit (new).
- Cash margin 10% on the APG and PB (SAR 6.24m), 15% on LCs (new).

4. Terms and conditions

For the general limit:

1. DMCCM only against Engineer-certified payment certificates, up to 80% of the net certified amount, repaid from the certificate proceeds.
2. Proceeds of assigned projects credited to the Bank first settle the related DMCCM outstanding.

For the Package C project limit:

3. Package C limit used only for Package C; LGs in the employer's standard format, open-ended wording not accepted.
4. DMCCM against Package C certificates certified by the Engineer, up to 80% of the net certified amount; the last 10% of contract value not financed.
5. Funded outstanding under the project limit covered at least 1.5x by remaining Package C contract proceeds.

For both limits:

6. Route not less than 60% of turnover through the Bank (existing; complied).
7. Audited financial statements within 120 days and in-house statements within 60 days of each half year.
8. Status of existing conditions (CC/2024/207): assignment of Package B proceeds — complied; routing — complied; audited FS — complied; related-party balances capped at SAR 10m — not complied (SAR 24.6m at 30/09/2026).

5. Group exposure

Entity	Funded existing	Total existing	Funded proposed	Total proposed	Outstanding
Sawaed Al Bina Contracting Co.	70.0	160.0	115.0	280.0	129.6
Sawaed Heavy Equipment Rental Co.	18.0	18.0	18.0	18.0	15.2
Sawaed Real Estate Co.	0.0	0.0	0.0	0.0	0.0
Group total	88.0	178.0	133.0	298.0	144.8

References: CC/2016/031 (14/03/2016, SAR 40m), CC/2019/044 (02/04/2019, SAR 85m), CC/2022/118 (19/10/2022, SAR 120m, cap SAR 130m), CC/2024/207 (12/11/2024, SAR 160m, cap SAR 185m); credit file request CFR/EP/2026/0391 dated 06/10/2026.

6. Background

Sawaed Al Bina Contracting Co. (CR 2050117342, Dammam) was incorporated on 12/05/2008 as a limited liability company with capital SAR 50.0m (raised from SAR 30.0m on 20/06/2023 by capitalising retained earnings). Activity: general contracting for buildings, roads, infrastructure and logistics facilities. Staff 1,846 (312 Saudis, Nitaqat Medium Green, 16.9% vs 15.2% minimum).

The group (Sawaed Group) comprises the company, Sawaed Heavy Equipment Rental Co. (100% Nasser Hamad Al-Sawaed; supplies equipment hire to the company, SAR 17.8m in FY2025) and Sawaed Real Estate Co. (100% Turki Hamad Al-Sawaed; deposit customer).

Work in hand at 30/09/2026: four projects with remaining value SAR 393.5m plus Package C (SAR 312.0m) = SAR 705.5m, i.e. 1.5x annualised 2026 revenue. Sales terms: monthly certificates, 45-60 days; purchases: 45-60 days, rebar against LCs.

Shareholder	Born	Nationality	Share	UBO
Turki Hamad Al-Sawaed (Chairman and GM)	1968	Saudi	65.0%	Yes
Nasser Hamad Al-Sawaed (Deputy GM)	1973	Saudi	35.0%	Yes

7. Relationship with the Bank

Customer since 20/03/2016. Credit turnover in the main account SAR 323.5m in the 12 months to 30/09/2026 (average balance SAR 7.3m); routing 68% of collections against 60% required. Limits utilised SAR 129.6m of SAR 160.0m (81%) at 30/09/2026; no past dues and no returned cheques in the last 12 months on the company's accounts.

History of limits: SAR 40m (2016), SAR 85m (2019), SAR 120m (2022), SAR 160m (2024).

Quarter	Credit turnover	Average balance	Average utilisation	Past dues	Returned cheques
Q4 2025	75.0	7.3	74%	Nil	Nil
Q1 2026	78.3	7.2	77%	Nil	Nil
Q2 2026	72.9	7.7	79%	Nil	Nil
Q3 2026	97.4	6.9	81%	Nil	Nil

8. Status of financed projects

Project	Employer	Value	Done	Billed	Received	Retention	Completion
Eastern Corridor Logistics Hub — Package B	Sharqiya Logistics Development Co. (SLDC)	486.0	41%	187.2	79.9	18.7	31/01/2028
Al Khobar Waterfront Residential Towers (2 towers)	Qamar Al Khaleej Real Estate Development Co.	212.0	88%	186.6	160.9	18.7	31/12/2026
Second Industrial Estate — Roads Package 4	Eastern Industrial Estates Co.	164.0	97%	159.1	141.0	15.9	15/09/2026
Jubail School Complex (3 schools)	Sahil Education Projects Co.	98.0	22%	21.6	15.3	2.2	31/03/2027

Package B (SAR 486.0m) progresses with 41% of work done; the employer has agreed in principle to the five-month extension of time requested on 14/04/2026 and the revised completion date is 31/01/2028. The employer is government-linked and payments are assured.

Al Khobar Waterfront (88%) and Jubail schools (22%) progress to programme; Roads Package 4 was substantially completed in 09/2026.

9. Financials (as per audited and in-house statements)

SAR m	FY2024	FY2025	9M2026
Revenue	402.6	468.2	352.4
Revenue growth	14.4%	16.3%	—
Gross profit	50.3	55.2	38.4
Gross margin	12.5%	11.8%	10.9%
Operating profit	28.9	31.3	19.8
Net profit	17.5	16.9	8.7
Net margin	4.3%	3.6%	2.5%
EBITDA	40.1	43.7	29.4
Total assets	302.8	364.5	399.2
Bank debt, short term	80.4	107.6	118.0
Bank debt, long term	18.0	18.0	11.2
Net worth (TNW)	102.6	114.5	123.2
Leverage (TL / TNW)	1.95x	2.18x	2.24x
Gearing (bank debt / TNW)	0.96x	1.10x	1.05x
Working capital	58.3	67.5	68.7
Current ratio	1.34x	1.31x	1.27x
Operating cash flow	25.3	-10.6	2.8

Auditor: FY2024 Qimam Al Sharq Certified Accountants, unqualified (signed 24/04/2025); FY2025 Qimam Al Sharq Certified Accountants, unqualified, with emphasis of matter (signed 27/04/2026). 9M2026 in-house, prepared by Omar Khalil Haddad (unaudited).

10. RM's justification

Incorporated 2008; Roads Package 4 (SAR 164.0m) completed in 09/2026; revenue SAR 468.2m in FY2025 (PY 402.6m, +16.3%), net profit SAR 16.9m (PY 17.5m).

Package C (SAR 312.0m) is the second package from the same employer and takes work in hand to SAR 705.5m, to 2028; the limit is repaid from certified works and backed by the assignment of proceeds.

Customer since 2016; 68% routing against 60% required, no past dues and no returned cheques in 12 months; personal guarantee of the main shareholder, net worth SAR 160.3m (30/06/2026). Business recommends approval.

Hisham Al-Qahtani
Relationship Manager

Khalid Al-Otaibi
Unit Head, Corporate Banking — Eastern Province

CREDIT DIVISION COMMENTS

Independent review of the business request against the documents on file and the Bank's own records. Figures in SAR million unless stated; prior period in brackets.

Status of financed projects — Package B (SLDC)

Contract SAR 486.0m signed 10/02/2025, 30 months from 01/03/2025 to **31/08/2027**. At 30/09/2026 63% of the contract period has elapsed against 41% of work done; the site visit of 24/09/2026 notes W4-W6 still at foundation stage (as per business, design changes by the employer).

Payment delays. Upon checking the payment certificates against the Bank's account statement, IPC-08 to IPC-11 (SAR 35.0m net) were paid 118-129 days after their due dates (56 days from certification); IPC-12 to IPC-17 (SAR 69.8m net) are unpaid, of which IPC-12 to IPC-15 (SAR 44.8m) overdue up to 108 days at 30/09/2026. The business request states that 'receivables are current', which the documents do not support. The FY2025 auditor drew attention to the same matter (emphasis of matter, Note 9). The customer's receivables ageing ages from the due date (SLDC 91-180 days SAR 10.2m); aged from certification, IPC-12 to IPC-14 (SAR 33.4m) are more than 90 days old.

Extension of time not formalised. The project list and the business request show completion on 31/01/2028 'as per EOT'; the contract (clause 8.4) recognises an extension only when approved in writing by the employer and no approval is on file (management says the response is awaited). Until approved, delay damages of 0.1% per day apply from 01/09/2027, capped at 10% = **SAR 48.6m**, i.e. 39% of net worth.

Retention building. Retention receivables SAR 55.4m at 30/09/2026 (FY2025: 41.8; FY2024: 27.9), 17% of current assets; Package B alone holds SAR 18.7m, released half at taking-over and half after a 12-month defects period, i.e. not before 2028.

New project — Package C

Same employer, same consultant, contract SAR 312.0m (letter of award only; contract not signed, cash flow not provided). With Package C, SLDC would account for SAR 598.7m or **85% of the backlog** while paying Package B about four months late. Credit's re-performance of the project cash flow (business did not provide one): SAR 13.0m of work per month over 24 months, costs at 89.1% (9M2026 gross margin 10.9%) paid the following month, 10% advance received at start against the APG, 10% retention and 10% advance recovery deducted, certificates paid 56 days after certification as per contract (base) or 2 and 4 months later (stressed, as on Package B):

Scenario (SAR m)	Peak deficit	When	Not covered by DMCCM 45.0 (asked)	Not covered by DMCCM 30.0 (recommended)
Base: paid 56 days after certification	7.6	Month 25 (end of works)	nil	nil
Stressed: paid 2 months late	28.4	Month 25 (end of works)	nil	nil
Stressed: paid 4 months late (Package B pattern)	49.2	Month 25 (end of works)	4.2	19.2

A four-month delay, the pattern of Package B, gives a peak deficit of SAR 49.2m, more than the DMCCM of SAR 45.0m requested; on time the deficit is SAR 7.6m. Credit does not propose to finance the delay itself: a DMCCM of SAR 30.0m covers the two-month stress (SAR 28.4m); a longer delay is for the shareholders to fund (condition d). About the employer: {SLDC} is a closed joint-stock company incorporated 01/03/2021, owned by the Eastern Province Development Fund; financials and SIMAH report not provided (as per business, government-linked with assured funding).

Financials and adjusted ratios

Auditor Qimam Al Sharq Certified Accountants, unqualified on FY2024 (signed 24/04/2025); FY2025 unqualified with emphasis of matter (signed 27/04/2026) on SLDC certificates unpaid at the reporting date (Note 9). 9M2026 in-house, unaudited. Figures in the business request (section 9); credit's re-performance:

Re-performed by credit	FY2024	FY2025	9M2026
Receivable days (trade receivables / revenue)	80	75	81
Days incl. contract assets and retention	161	177	199
Inventory days (inventory / cost of revenue)	11	11	11
Payable days (trade payables / cost of revenue)	53	63	64
Cash cycle (days)	38	23	28
Trade receivables, % of current assets	38%	34%	33%
Interest cover (EBITDA / finance cost)	4.1x	3.5x	2.6x

- Revenue rose to SAR 468.2m in FY2025 (PY 402.6m, +16.3%); 9M2026 SAR 352.4m, annualised SAR 469.9m, i.e. flat. Gross margin fell to 10.9% (FY2025 11.8%; FY2024 12.5%).
- Operating cash flow was negative SAR 10.6m in FY2025 (FY2024 +25.3m) and SAR +2.8m in 9M2026: growth is funded by short-term borrowings (SAR 109.0m at 30/09/2026 vs 71.4m at FY2024, excluding the current portion of long-term debt).
- Current assets SAR 319.9m at 30/09/2026: trade receivables 33%, contract assets 30%, retention 17%, due from related parties 8%, cash 3%. SLDC is 67% of trade receivables; closed projects and variation claims SAR 21.5m, of which SAR 20.5m over 180 days.
- Contingent liabilities: LGs outstanding SAR 119.0m (the Bank 60.6, Arabian Crescent Bank 58.4) against work in hand of SAR 393.5m before Package C (30%).
- Due from related parties SAR 24.6m (FY2025 18.9; FY2024 9.6), all from Sawaed Heavy Equipment Rental Co., unsecured with no repayment date; a further SAR 9.1m was transferred to it from the Arabian Crescent Bank account in the 12 months to 09/2026.
- If the related-party balance and the unacknowledged variation claims (SAR 12.4m, FY2025 Note 11) are netted off, adjusted net worth is **SAR 86.2m** (reported 123.2m) and adjusted leverage **3.20x** (reported 2.24x), above the 2.5x covenant in the Arabian Crescent Bank offer letter.

Guarantor

Turki Hamad Al-Sawaed declares a net worth of SAR 160.3m (30/06/2026), of which **SAR 118.0m (73% of assets) is his 65% of the borrower** at his own valuation (65% of book net worth at 30/09/2026 = SAR 80.1m). Excluding the borrower's own shares, the net worth is SAR 42.3m, 15% of the proposed facilities. Real estate is at owner's valuation (no valuation reports). Nasser Hamad Al-Sawaed's net-worth statement was not provided and his guarantee is not offered on the project limit.

Connected party — Sawaed Heavy Equipment Rental Co. (CIF CB09003)

Limits SAR 18.0m with the Bank (OD and term loan), outstanding SAR 15.2m. Three cheques returned for insufficient funds (11/03/2026 SAR 0.42m, 19/05/2026 SAR 0.61m, 08/07/2026 SAR 0.38m); past due 38 days in 05/2026, **64 days in 07/2026**, 30 days at 30/09/2026; downgraded to B and on the watchlist since 08/2026. Nasser Hamad Al-Sawaed's SIMAH report (score 588) shows the same delinquency as guarantor. The business request does not mention it. The equipment company depends on the borrower (equipment hire SAR 17.8m in FY2025) and the borrower funds it (SAR 24.6m due), so the two must be read together.

Credit bureau and other banks

SIMAH company report (11/10/2026, score 655): limits SAR 300.3m with two banks, outstanding SAR 254.6m, no overdue, no defaults. Three enquiries in six months, including Coastal Gulf Bank (06/2026), not explained by business.

Bank (SAR m)	Facility	Limit	Outstanding	Pricing	Source
Sandstone Harbour Bank	General limit (APG, PB, LC, DMCCM, OD)	160.0	129.6	SAIBOR + 2.50-2.75%	Bank records = SIMAH
Arabian Crescent Bank	Short-term Murabaha	50.0	46.3	SAIBOR + 2.25%	Statement 30/09/2026 = SIMAH
Arabian Crescent Bank	Letters of guarantee	70.0	58.4	0.75% p.a.	Statement 30/09/2026 = SIMAH
Arabian Crescent Bank	Term loan (equipment), to 06/2028	20.3	20.3	SAIBOR + 2.00%	Statement 30/09/2026 = SIMAH
Total		300.3	254.6		Reconciled

Arabian Crescent Bank holds the assignment of the Al Khobar Waterfront proceeds and a leverage covenant of 2.5x (offer letter ACB/CB/EP/26/0412 of 15/03/2026).

SIMAH consumer reports: Turki Hamad Al-Sawaed score 706, current; Nasser Hamad Al-Sawaed score 588, 60-89 days past due as guarantor (07/2026).

Effects of the current market situation

Rebar and ready-mix are 27.0% of FY2025 purchases (Gulf Rebar Trading Co. 15.0%, Eastern Ready Mix Concrete Co. 12.0%); the Package C contract is not on file, so price-escalation terms are not known; a 10% rise in rebar prices would cost about 1.3% of revenue against a 10.9% gross margin (9M2026). Eastern Province logistics projects compete for the same subcontractors and Saudi staff (Nitaqat Medium Green, 16.9% vs 15.2% minimum: 32 Saudi leavers out of 312 would take the company to the lower band).

Exceptions and other observations

- Exception: group exposure SAR 298.0m above the approved cap of SAR 185.0m (increase to SAR 300.0m requested).
- Exception: existing condition on related-party balances (SAR 10m cap) not complied: SAR 24.6m.
- Not provided: Package C contract and cash flow; Nasser Hamad Al-Sawaed's net-worth statement; valuations of the guarantor's real estate.
- What business says vs what credit could verify: 'receivables current' (not verified: SAR 44.8m overdue); 'EOT agreed in principle' (not verified: no written approval); 'guarantor net worth SAR 160.3m' (SAR 42.3m excluding the borrower's own shares).

Key strengths

- Incorporated 2008; Roads Package 4 (SAR 164.0m) 97% done, substantially completed 09/2026 (as per business); Al Khobar Waterfront 88% done, completion 31/12/2026.
- Relationship since 2016 with 68% routing, no past dues and no returned cheques on the company's accounts.
- Employer of Packages B and C is government-linked (low risk of non-payment, high risk of late payment).
- DMCCM repaid from Engineer-certified works; Package B proceeds assigned and acknowledged (02/05/2025); LGs and LCs carry 10-15% cash margin.

CREDIT DIVISION RECOMMENDATION

Credit division supports the renewal and the Package C limit with a reduced and staged funded line and conditions precedent, given the payment delays on Package B, the unformalised extension of time and the connected party's record.

1. Renew the general limit of SAR 160.0m for 12 months, structure and pricing unchanged.
2. Approve the Package C project limit at SAR 105.0m: APG SAR 31.2m, PB SAR 31.2m, LC SAR 12.6m and DMCCM **SAR 30.0m** (requested 45.0), DMCCM released only when no Package B certificate is more than 60 days overdue.
3. Total facilities SAR 265.0m; Sawaed Group exposure cap SAR 285.0m (requested 300.0): borrower SAR 265.0m and Sawaed Heavy Equipment Rental Co. SAR 18.0m = SAR 283.0m.
4. Security as in section 3, with Nasser Hamad Al-Sawaed's guarantee extended to the project limit and the promissory note at SAR 265.0m.
5. Internal rating BB, as proposed by business (BB+ before).
6. Sawaed Heavy Equipment Rental Co.: keep on watchlist; no new limits; regularise and reduce outstanding to SAR 12.0m by 31/03/2027.
7. Approval authority: Credit Committee (group exposure above SAR 250m).

Additional conditions (prior to limit loading unless stated)

a) Prior to limit loading: SLDC's written approval of the Package B extension of time, or a written undertaking not to apply delay damages pending determination.
b) Prior to limit loading: signed Package C contract and the assignment of its proceeds to the Bank, acknowledged by SLDC within 60 days of signature.
c) Prior to limit loading: personal guarantee of Nasser Hamad Al-Sawaed on the project limit with his net-worth statement; valuation of the guarantors' real estate within 3 months.
d) Prior to DMCCM utilisation: Package C cash-flow forecast with a 4-month payment-delay stress showing the peak deficit and how it is funded.
e) Due from related parties reduced to SAR 15.0m by 31/03/2027 and SAR 10.0m by 30/09/2027; no further advances or transfers to related parties (all banks).
f) Monthly certificate-ageing report by the RM; regional head and RM to visit Package B quarterly until certificates are paid within 60 days.
g) Business to explain the Coastal Gulf Bank enquiry of 06/2026 and confirm no new facilities elsewhere.

Reem Al-Shehri	**Abdullah Al-Zahrani**	
Credit Analyst	VP Credit	Chief Credit Officer

CRO review / comments

Credit committee approval / instructions

Approval authority: Credit Committee.

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Chairman, Credit Committee	Member	Member